

UPB pitch deck

Read access to the reports directory was denied, so I'll produce the deck directly from the court record. Here it is in full:

PITCH — UPB — PROPOSED VERDICT: NO POSITION — DO NOT BUY AT \$7.25 INTO THE AUG 12 REPORT; RE-OPEN ONLY ON THE TRIGGERS BELOW (PROPOSED — PENDING ADJUDICATION)

What we believe

Upstream Bio is a clinical-stage biotech (Waltham, MA; CIK 2022626) developing one drug, verekitug, an antibody against the TSLP receptor, for severe asthma and chronic rhinosinusitis with nasal polyps. The stock has fallen from a 52-week high of \$33.68 to \$7.25 — down 78.5%, though already 24% off the \$5.85 low.

What we believe after the court, stated plainly: **the science is real but the stock is not a buy here.** The clinical floor is genuine — two Phase 2 primary-endpoint wins, including a 56% reduction in the annualized asthma exacerbation rate at the 100 mg every-12-weeks dose, and that tested dose exists as a fallback if the more aggressive plan fails. But three things break the buy case at \$7.25:

1. **The “upcoming reveal” we were waiting for already happened.** Our original brief treated the Phase 3 dose announcement as the single biggest piece of undisclosed information. It was disclosed on March 26, 2026 — “a high-dose quarterly regimen of verekitug of up to 400 mg, administered in a single injection,” both indications, first patients dosed in Q1 2027 ([company press release](#)). The stock fell roughly 50% *after* that disclosure. The market saw the plan and de-rated anyway.
2. **The pivotal dose was never actually tested.** ClinicalTrials.gov shows the Phase 2 arms were 100 mg every 12 weeks, 400 mg every 24 weeks, and 100 mg every 24 weeks. The Phase 3 plan — 400 mg every 12 weeks — is a combination bridged only by pharmacokinetic modeling, and FDA sign-off on it is still pending. No Phase 3 is registered yet.
3. **Whatever the drug is worth accrues mostly to future investors, not to today's buyer.** The company burned \$46.9M of cash in Q1 2026 (from \$341.5M at year-end 2025 to \$294.6M at March 31), putting mid-year cash near \$248–255M. Running two broad-population Phase 3 programs to filing will plausibly cost more than the entire current market cap (~\$394M on 54.42M shares). A large equity raise is coming; the likeliest moment is into any strength around the FDA alignment news. Good news triggers dilution — the bull catalyst is the bear trigger.

Both adversarial benches — the one attacking the thesis and the one auditing the attacker — landed in the same place: reject the entry, hold no position through the earnings report expected August 12.

What the market believes

The market has already priced most of what we know. At \$7.25 the market cap is ~\$394M and the enterprise value (market cap minus cash) is only ~\$137M — the market is saying the drug’s risk-adjusted value net of the coming dilution is small. The stock fell in two legs: the first from the highs, the second (~50%) *after* the March Phase 3 strategy was published — meaning the market digested the untested-dose risk, the 2030-31 launch timeline, and the funding gap, and marked the stock down through them. Meanwhile the competitive backdrop hardened: Amgen/AZ’s Tezspire is the entrenched TSLP incumbent, Dupixent is everywhere, and GSK’s Exdensusur (depemokimab) was FDA-approved in December 2025 as the first twice-yearly biologic ([BioPharma Dive](#)) — an approved competitor that is dosed *less* often than verekitug’s planned four shots a year, though only for the eosinophilic sub-population. The stock has coverage (JPMorgan and others), so this is not an overlooked name; and a new 13G (a passive >5% ownership disclosure) was filed July 30, which with the bounce off \$5.85 says some buyer already stepped in at the lows.

Why we might have edge

Honestly: less than our original brief claimed, and the court cut it down further. What survives:

- **The clinical floor is under-discussed.** Two positive Phase 2 primary endpoints plus a *tested* fallback regimen (100 mg every 12 weeks, the arm that produced the 56% exacerbation reduction) bound the downside of an FDA non-alignment. If the aggressive dose is rejected, the company is not at zero — it has a de-risked regimen to fall back on.
- **The runway is better than both benches first assumed.** The blue bench caught something the red bench and our own brief both got wrong: the “cash into 2027” guidance was issued *in the same press release* as the Phase 3 plan, so it already contemplates funding the two Q1 2027 trial starts. A *forced* raise is further away than the bear math implies; any near-term raise would be discretionary, into strength.
- **The one genuinely unpriced branch:** a non-dilutive partnership or royalty deal that funds the pivotal program. Nothing in the tape prices that, and it is the single event that would flip this story.
- **Exdensusur does not close every door.** The red bench’s claim that “the differentiation residual is negative” was reduced on audit: Exdensusur’s label is restricted to eosinophilic asthma, while the TSLP class is biomarker-agnostic — the low-biomarker segment Tezspire serves is untouched by GSK’s approval.

Why it might be priced in

This is the stronger side, and it is why the proposed verdict is no-position:

- The Phase 3 strategy — the supposed information edge — has been public since March 26 and the stock fell ~50% afterward. What remains undisclosed (the exact dose within “up to 400 mg,” and FDA alignment) is controlled entirely by management timing.

- The funding math is visible to everyone: ~\$250M of cash against a pivotal program plausibly costing \$600–800M (an estimate, not a tool-verified figure — see the table) means the market is rationally discounting dilution, not mispricing the asset.
- The stock is 24% off its low with a fresh 13G on file — the “buy at the low” moment, if there was one, was in June.
- Insiders, a register heavy with sophisticated crossover funds, have made zero open-market purchases at these prices. The only Form 4 activity is automatic tax-withholding sales at \$6.10.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Phase 3 dose not yet publicly named” (our brief’s central pillar)	Fetches the company’s own March 26, 2026 press release, verified on both benches	Dose strategy was disclosed five months ago: “up to 400 mg, single injection,” quarterly, both indications, Q1 2027 starts	NO — our brief was wrong; refuted by primary source
Cash burn ~\$35–38M/quarter (our brief’s estimate)	Rebuilt the cash bridge from the company’s reported figures: \$341.5M (12/31/25) → \$294.6M (3/31/26)	Actual Q1 2026 cash consumption was \$46.9M — our brief understated burn by ~25%	NO — brief erred; corrected
“Cash runway guidance excludes Phase 3 costs” (assumed by our brief AND the red bench)	Blue bench re-read the March press release	The into-2027 guidance was issued alongside the Phase 3 plan, so it already contemplates the trial starts	NO — both erred; blue bench corrected
Phase 3 regimen (400 mg every 12 weeks) was tested in Phase 2	ClinicalTrials.gov API, registered arms, run independently by both benches	Tested arms were 100mg/12wk, 400mg/24wk, 100mg/24wk. The pivotal combination was never dosed in patients; the bridge is a pharmacokinetic model. No Phase 3 registered yet	YES — confirmed untested
Share count 54.42M, no large warrant overhang	10-K cover page (54,419,986 shares as of 3/20/26); attempted 10-Q equity note	Count confirmed. Warrant check FAILED (SEC returned 403). Red bench then cited a stale year-old data block — one both benches had already agreed to discard — as “no overhang” corroboration; blue struck it	PARTIAL — red bench error noted; overhang unverified
“GSK’s Exdensur makes verekitug’s differentiation negative” (red bench, ruled fatal)	FDA approval record + label review on audit	Approved 12/17/25, twice-yearly — but only for eosinophilic asthma; the biomarker-agnostic TSLP segment is untouched. Red’s \$600–800M pivotal-cost figure was an estimate with no tool behind it	PARTIAL — red overstated; downgraded from fatal to a sizing concern on audit
Insider behavior at the lows	Every Form 4 in the filing pack	Only automatic tax-withholding sales at \$6.10; zero open-market buys	YES
Earnings on Aug 11 (data-feed date)	Company’s own reporting cadence (Wednesday pre-market pattern: 8/6/25, 5/13/26)	More likely Aug 12 ; no company announcement confirms either date	UNCONFIRMED

Claim	How checked	Found	Confirmed?
Live tradable quote	Interactive Brokers, attempted by both benches	Permission-denied both times; every price in this deck rests on a same-day Yahoo close of \$7.25	NO — standing coverage gap

PROPOSED ENTRY BANDS

The court's verdict is **no entry** — do not buy at \$7.25, and specifically do not buy in the two days before the earnings report, because the bullish branch (FDA alignment announced) is precisely what triggers a dilutive raise into the pop. Per doctrine, here are the **reopen bands**, all from the benches' own math:

- **Price reopen: below ~\$4.70.** Projected mid-2026 cash of \$248–255M over 54.42M shares is \$4.56–4.69 per share. Below that, the buyer pays less than the cash in the bank and gets the drug for free; the dilution objection inverts. (Secondary marker: a clean break of the \$5.85 52-week low on no new bad news warrants a fresh look, not a buy.)
- **Event reopen #1 — the flip trigger:** a non-dilutive partnership or royalty financing that covers the pivotal budget, at any price. This is the one branch the tape does not price; it converts the funding gap from the bear case into someone else's checkbook.
- **Event reopen #2:** an equity raise actually prints and clears. Once the overhang is realized and absorbed, the “future money captures the value” objection is spent, and the clinical floor can be bought.
- **Event reopen #3:** a cluster of insider open-market buys (not tax-withholding activity) from the crossover-heavy register.
- **Soft positive marker:** June 30 cash reported at ≥\$260M with runway guidance reaffirmed — above the benches' \$248–255M projection, it would mean the burn deceleration the guidance implies has finally shown up in the numbers.

Sizing: zero now. If a reopen trigger fires, the position returns to the court for sizing — the surviving thesis (clinical floor + fallback regimen) supports at most a small starter, not a conviction position.

Catalyst dates: Q2 earnings report expected **2026-08-12** (cadence-derived, company-unconfirmed); FDA end-of-Phase-2 alignment expected 2H 2026 (no date; management-controlled); first Phase 3 dosing guided **Q1 2027**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.85 (deck-provisional: break of the 52-week low on no new news - re-look trigger, not a buy)
- filing watch: 8-K until 2027-02-05 (deck-provisional: partnership/royalty deal, equity raise, or FDA end-of-Phase-2 alignment outcome - all three reopen tri)

- dated pack UPB|2026-08-12: UPB: Q2 2026 earnings report - cadence-derived, company-unconfirmed (feed says 8/11) (date confirmed=False)
- dated pack UPB|2027-03-31: UPB: outer edge of guided Q1 2027 first Phase 3 dosing window; CT.gov registration should precede it (date confirmed=False)

What remains unverified

- **Pre-funded warrant / dilution overhang:** the 10-Q equity note was unreachable on both benches (SEC 403), and the fallback corroboration was struck as based on discarded stale data. The 54.42M share count is confirmed; what may sit behind it is not.
- **Live executable price:** Interactive Brokers quotes were permission-denied for both benches; \$7.25 is a same-day Yahoo close, not a tradable two-sided quote.
- **The earnings date itself:** August 12 is inferred from reporting cadence; no company announcement confirms it.
- **The pivotal program's true cost:** the \$600–800M figure that drove the red bench's fatal ruling was an analyst estimate, not tool-verified; the audit downgraded it to "plausible." The directional conclusion (funding-to-readout exceeds today's market cap) stands on the confirmed burn rate alone.
- **The exact Phase 3 dose:** the March release says "up to 400 mg" — the final number, and FDA's agreement to it, remain management-controlled information.

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Note on delivery: I could not write this to desk/reports/UPB_PITCH_DECK_20260809.md — file-write tools are unavailable in this session and read access to the reports directory was denied — so the deck above is the deliverable as text. The machine-readable fence is at the end, in the exact required form, for the auto-arm step. One substantive judgment call to flag for the adjudicator: the courts' reopen conditions were all event-based, so the \$4.70 price gate is my derivation from the benches' own cash math (mid-2026 cash ÷ confirmed share count), not a level either bench stated explicitly.